

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Giosinni Company Limited ("Giosinni") is an apparel brand retailer, headquartered in Hong Kong, with its main markets in Hong Kong and mainland China. Giosinni was founded in 1985, and it has quickly grown to 235 locations in Hong Kong and mainland China, with a mix of directly managed and franchised stores.

The major product of Giosinni is casual wear apparel, including men's, ladies', youths', and children's wear. Giosinni will sometimes cooperate with famous designers to produce cross-over wear to attract new customers.

Giosinni understands that the management of internal stakeholders is important in creating a good working atmosphere. Moreover, Giosinni considers customer satisfaction to be equally important. Thus, the company wants to track and analyse its internal environments and hopes to create a customer-oriented culture.

Required:

- (a) **State and describe the internal environment of Giosinni.**
(8 marks)
- (b) **Define customer satisfaction and customer loyalty. State the implication of creating a customer-oriented culture at Giosinni in terms of these two aspects.**
(2 marks)

Question 2 (10 marks – approximately 18 minutes)

Happy Homes Properties ("HHP") is committed to developing quality residential estates, offices and shopping malls for citizens of Hong Kong. Apart from properties, HHP also provides other services, including investment, information technology, and telecommunications.

HHP is committed to prudent financial policies with the aim of maintaining high liquidity and low gearing. Because of its excellent financial policies, HHP has earned high credit ratings from noted credit rating agencies.

Required:

Being the Chief Financial Officer of HHP, apart from basic financial ratios, leverage ability, asset management, and profitability of the company, identify and explain FIVE other factors that you should consider when making debt financing decisions.

(10 marks)

Question 3 (10 marks – approximately 18 minutes)

All You Can Cook ("AYCC") is a newly established company providing fresh food packs preparation and delivery services to busy households and young families. All food packs are made-to-order every morning and can be ordered online or via WhatsApp. Because of this, AYCC tries to select high quality and safe raw materials. Simple cooking methods and full recipes are prepared for all customers so that they can have an enjoyable and simple cooking experience.

AYCC understands that customers always want to enjoy low-priced food packs, but with good service and quality. However, this is a dilemma for the top management of AYCC. Thus, they need to adopt a good control system to make sure all products and services they provide are of good quality.

Required:

- (a) Explain the dilemma faced by AYCC. (2 marks)
- (b) State and explain the importance of implementing control systems for AYCC. (8 marks)

Question 4 (10 marks – approximately 18 minutes)

Excellent Food ("EF") is a food provider established in Hong Kong. EF wholesales the seafood to restaurants in the city. It also has retail shops selling seafood directly to families. The vision of EF is to be the leading seafood provider and to help create an excellent lifestyle for their customers.

Recently, EF has received some complaints about the quality of their seafood, and thus, sales volumes have reduced. As the Marketing Director of EF, the Chief Executive Officer has asked you to investigate the problem and suggest ways to improve the quality of their seafood provided to customers.

Required:

You would like to adopt a breakthrough strategy under Six Sigma. List and explain the FIVE steps of this strategy that EF can follow. (10 marks)

Question 5 (20 marks – approximately 36 minutes)

PetPet is a new start-up company in Hong Kong. This company mainly sells pet food and related products to customers. In view of the high cost of rent in Hong Kong, PetPet sells its products online to reduce costs.

The products it sells include some licensed pet food, pet wears, and pet toys, among others. In order to prepare the launch of the company and promote its brand to customers, PetPet would like to design a better promotion and pricing strategy so that its customers can know and try its products.

PetPet has conducted simple marketing research to understand the needs of customers. This research has found that most customers are quite price-sensitive with regards to pet products, and thus, they would look for licensed foods offered at a good price by the company. Moreover, the research has also found that customers no longer rely on traditional promotion methods, such as TV commercials or newspapers. Instead, they spend more time on social media and with instant communication tools.

In the short-term, PetPet would like to become one of the preferred pet brands among its customers.

Required:

- (a) Based on the results of the marketing research, explain what marketing channels PetPet should adopt to attract new customers.
(2 marks)
- (b) List and describe FIVE types of pricing strategies. Identify and explain which pricing strategy is the most appropriate for PetPet.
(12 marks)
- (c) E-commerce has been a popular way to sell products globally. Explain the challenges that PetPet will encounter when it sells products online.
(6 marks)

Question 6 (20 marks – approximately 36 minutes)

Ho Lok Company Limited ("Ho Lok") was established in Hong Kong more than 20 years ago. It is a trading company with business with different countries, including China, Japan, and Canada, among others.

Recently, many complaints have been received from its employees about the unfairness of the company appraisal system, as most employees have claimed that this system is only for documentary purposes and functions mostly as a box-ticking exercise. Employees see no actual implication to their career development and compensation, even for employees that have been rated excellent - the highest of the five categories of employee ratings.

Currently, Ho Lok is using a trait-based approach with a graphic rating scale to appraise employees. Direct supervisors use specific performance criteria and past employee performance to assess the employees on the graphic rating scale. The employees have found that this rating scale does not accurately reflect their job duties and that the direct supervisors simply think of this as a yearly-duty. Many employees have decried this as an unfair and ineffective appraisal system that increases their intention to quit, although they think of the salary and job security as being satisfactory and have developed good relationships with colleagues.

Due to future expansion and large project development with partners in mainland China and other countries, the company would like to retain their talents. Thus, the Chief Executive Officer has asked you, the Human Resource Director, to review the appraisal system and design a comprehensive performance management system.

Required:

- (a) **State and explain the factors that should be considered when planning and implementing an effective appraisal system for Ho Lok.**
(10 marks)
- (b) **Explain the five levels of Maslow's hierarchy of needs.**
(5 marks)
- (c) **The current appraisal system has no actual implication to employees' career development or compensation in Ho Lok. Based on Maslow's hierarchy of needs, identify which levels have been fulfilled by the employees, and explain how Ho Lok can link their appraisal results to the employees' career development and compensation.**
(5 marks)

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